

Island Bottoms (Upward Breakouts)

	Bull Market	Bear Market
Reversal or continuation	Long-term bullish reversal	Short-term bullish reversal
Performance rank	38 out of 39	20 (last) out of 20
Breakeven failure rate	31%	30%
Average rise	31%	20%
Volume trend	Downward	Downward
Throwbacks	54%	52%
Percentage meeting price target	82%	75%

The performance of island reversals is dreadful. Island bottoms in bear markets place last, and bull markets aren't much better (next to last). Island tops are close to the bottom of the performance list as well.

Failure rates for island bottoms rank last (worst). Island tops are also near the bottom of the list.

With performance such as this, trading every island that you see is a way to drown in losses. You can improve performance by selecting patterns with the proper height and width characteristics for the market you are trading, as described later in this chapter, but you might want to skip trading this pattern altogether.

Let's take an island tour to see some examples.

Tour

[**Figure 45.1**](#) shows what island reversals look like. The first island, shown on the far left, is a one-day reversal. In the study of islands, I did not tabulate such narrow patterns, but the figure shows an example of a small reversal.

The pattern to the right of the one-day reversal is an island bottom. Price gaps down in mid-September, reaches a new low in early October, and then